Absorbing Transition DID Results: AKM Failure Good — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.054**		-0.033		-0.039**
		(0.024)		(0.022)		(0.018)
× Voluntary Rotation		-0.051***		-0.022***		-0.040***
		(0.008)		(0.006)		(0.008)
Pooled	-0.053***		-0.022***		-0.041***	
	(0.007)		(0.004)		(0.006)	
Mandatory − Voluntary		-0.002		-0.011		0.001
Difference p-value		0.930		0.627		0.963
Observations	43,118	37,238	43,118	37,238	43,118	37,238
Firms	5,234	4,936	5,234	4,936	5,234	4,936
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.062***		-0.025		-0.044**
		(0.022)		(0.015)		(0.019)
× Voluntary Rotation		-0.063***		-0.037***		-0.044***
		(0.012)		(0.010)		(0.010)
Pooled	-0.060***		-0.035***		-0.041***	
	(0.011)		(0.008)		(0.009)	
Mandatory − Voluntary		0.000		0.012		-0.000
Difference p-value		0.995		0.498		1.000
Observations	23,910	22,245	23,910	22,245	23,910	22,245
Firms	2,822	2,784	2,822	2,784	2,822	2,784
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.058***		-0.028***		-0.043***
		(0.011)		(0.006)		(0.009)
× Voluntary Rotation		-0.047***		-0.023***		-0.032***
		(0.004)		(0.002)		(0.003)
Pooled	-0.053***		-0.027***		-0.036***	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.011		-0.005		-0.010
Difference p-value		0.322		0.447		0.286
Observations	50,753	44,369	50,753	44,369	50,753	44,369
Firms	5,521	5,268	5,521	5,268	5,521	5,268
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.058***		-0.028***		-0.044***
		(0.011)		(0.007)		(0.010)
× Voluntary Rotation		-0.048***		-0.024***		-0.033***
		(0.004)		(0.002)		(0.003)
Pooled	-0.053***		-0.027***		-0.036***	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.010		-0.004		-0.011
Difference p-value		0.378		0.572		0.293
Observations	52,489	46,005	52,489	46,005	52,489	46,005
Firms	5,521	5,311	5,521	5,311	5,521	5,311
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.